WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

JAPAN

Asia

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Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Tokyo	Capital and principal financial and corporate headquarters centre; one of four designated Special Zones for Financial and Asset Management Businesses	Financial services, asset management, digital technology, real estate
Osaka / Kansai	Second economic hub and a designated financial and asset-management special zone, with deep manufacturing and life-science clusters	Life sciences, advanced manufacturing, asset management, tourism
Aichi / Nagoya (Chubu)	Heartland of Japan's automotive and machinery supply chains, central to the export-oriented industrial base	Automotive, robotics, aerospace, industrial machinery
Kumamoto (Kyushu)	Home to the TSMC-led JASM semiconductor plant, with construction of a second fab worth about $13.9 billion under way since October 2025	Semiconductors, materials, equipment suppliers, logistics
Hokkaido (Chitose / Sapporo)	Base of Rapidus, the state-backed 2-nanometre chip venture, and a designated financial and asset-management special zone with strong renewable-energy potential	Semiconductors, renewable energy, data centres, agri-food
Fukuoka	Gateway city to Asia and a designated financial and asset-management special zone with an active start-up ecosystem	Fintech, start-ups, asset management, logistics
Data-centre and logistics sites nationwide	Data-centre and logistics projects drove a record $31.6 billion of greenfield investment into Japan in 2024	Data centres, logistics, power and cooling infrastructure

INVESTOR ENTRY ROUTES

- JETRO (Japan External Trade Organization) and its Invest Japan Business Support Center provide one-stop facilitation, incorporation guidance and partner matching (J-Bridge) for foreign investors
- Foreign Exchange and Foreign Trade Act (FEFTA) framework: most investments proceed freely, with prior notification and a standard 30-day waiting period applying only in designated sensitive sectors
- Special Zones for Financial and Asset Management Businesses in Hokkaido, Tokyo, Osaka and Fukuoka, with Financial Services Agency support for new entrants including English-language procedures

- The Takaichi administration's 17 Strategic Sectors and Public-Private Investment Roadmap, offering government co-investment and support in areas such as semiconductors, AI, shipbuilding, aerospace and medical devices
- Freely floating, fully convertible yen managed by the Bank of Japan, with no general restrictions on capital movement or profit repatriation
- Business Manager visa for foreign entrepreneurs, with a minimum capital requirement raised to 30 million yen from October 2025
- Acquisitions and partnerships, supported by corporate-governance reforms that have encouraged restructuring, carve-outs and take-private transactions

MARKET-ENTRY OBSERVATION

Japan in October 2026 is a large, stable economy completing a historic return to normal monetary conditions. Real GDP grew 1.2% in 2025, with nominal GDP up 4.6%, and second-quarter 2026 growth was revised up to 0.4% quarter on quarter (1.4% annualised). On 18 September 2026 the Bank of Japan raised its policy rate to 1.25%, the highest since 1995, as wages and underlying prices settle around its 2% goal, with core-core inflation at 1.9% in August. Inward FDI stock reached a record 53.3 trillion yen at end-2024 and greenfield investment hit a record $31.6 billion, while the government has raised its 2030 FDI target to 120 trillion yen. Official reserves of $1.18 trillion, a 17-sector public-private investment roadmap and a world-class semiconductor revival led by TSMC's Kumamoto plants and Rapidus in Hokkaido underpin a strong investment proposition.

Japan's main structural challenge is energy-import dependence: around 96% of its oil comes from the Middle East and about 90% of shipments pass through the Strait of Hormuz, where traffic has been heavily disrupted since the 2026 Iran conflict. Japan has responded decisively, releasing 80 million barrels (45 days of supply) from strategic reserves in March 2026, supporting fuel prices for households and businesses, and launching an energy resilience package in August 2026 covering Hormuz-bypass pipelines with JOGMEC financing, new naphtha reserves and faster expansion of nuclear and renewables. Under the Strategic Energy Plan, renewables are set to provide 40–50% of power by 2040 and nuclear 20–22%, creating substantial long-term opportunities in clean power, grid, storage and energy-efficiency investment alongside the near-term resilience build-out.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Energy-import dependence and Hormuz disruption	Around 96% of oil imports come from the Middle East and Hormuz transits remain limited, with Japanese shippers expecting disruption to last into 2027	Strategic reserves, fuel support and the August 2026 resilience package cushion the impact; energy-intensive investors should model supply-cost scenarios, while clean-energy investors gain a growing market
Ageing population and labour supply	The old-age dependency ratio is around 50 and labour markets are tight, although foreign workers reached a record 2.57 million in October 2025	Automation, robotics and AI demand is strong; investors can draw on expanding foreign-worker channels and reskilling programmes
High public debt and rising bond yields	Gross public debt is projected by the IMF at about 203% of GDP in 2026, and 10-year JGB yields have risen to around 3%	Debt is largely domestically held and the government stresses fiscal discipline; higher yields also restore returns for financial-sector and fixed-income investors
Strengthened foreign-investment screening	June 2026 FEFTA amendments created the Japan Foreign Investment Commission and added post-closing review and indirect-acquisition rules in sensitive sectors	Engage Japanese counsel early on sector designation and filings; most investments outside sensitive sectors remain unaffected
US tariffs on Japanese exports	Most Japanese goods face a 15% US tariff under the July 2025 agreement, and exports to the US fell 4.1% in 2025	The agreement provides certainty, and Japan's $550 billion US investment package creates partnership opportunities in energy, infrastructure and critical supply chains

Issue	Potential Impact	Possible Mitigation
Monetary normalisation and yen movements	Policy-rate rises to 1.25% and a gradual path towards neutral can move the yen and local financing costs	Apply standard currency hedging; the IMF endorses the Bank of Japan's gradual, data-dependent approach
Relationship-based business culture and language	Decision-making is consensus-driven and procurement often favours established partners, which can lengthen entry timelines	Use JETRO matching, local partners and English-language support in the financial special zones to accelerate entry

INVESTOR RISK NOTE

Japan's risk profile is that of a mature, institutionally strong economy with deep capital markets, very large external buffers and a transparent legal system. Reflation, rising wages and the Bank of Japan's orderly move to a 1.25% policy rate mark a durable exit from decades of deflation, and the IMF judges the central bank to be withdrawing accommodation appropriately. The principal near-term consideration is energy-import exposure following the 2026 Hormuz disruption, which Japan is managing through reserve releases, fuel support and a structured diversification programme. High public debt and rising JGB yields warrant monitoring, though debt is predominantly domestically held and reserves stand at $1.18 trillion. Strengthened investment screening is a compliance step for sensitive sectors rather than a barrier to mainstream investment. Investors should include energy-cost and currency scenarios in planning, while the strategic-sector roadmap, semiconductor revival and corporate-governance reforms offer substantial upside.

MARKET ACCESS

Japan has one of the world's most extensive trade-agreement networks, with economic partnership or free trade agreements covering about 79% of its trade at end-2024. It is a founding member of the CPTPP, which the UK joined in December 2024, and of the Regional Comprehensive Economic Partnership (RCEP), in force since January 2022 and covering about 30% of world GDP, trade and population. The EU–Japan Economic Partnership Agreement (in force since February 2019) and the UK–Japan Comprehensive Economic Partnership Agreement (since January 2021) give preferential access to European markets, and Japan is a long-standing WTO member. The United States and China are its largest export markets; the July 2025 US agreement set a 15% tariff alongside a $550 billion Japanese investment programme in the US through 2029, whose first $36 billion tranche was announced in February 2026. Energy corridors are being diversified through support for pipelines that bypass the Strait of Hormuz.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prime Minister's Office (Sanae Takaichi)	Sets the growth strategy, including the 17 Strategic Sectors roadmap, economic-security and energy-resilience policy	Primary reference point for Japan's strategic and industrial direction
JETRO (Japan External Trade Organization)	National investment promotion agency running the Invest Japan Business Support Center and partner-matching services	Standard first point of contact for market entry, incentives and partner introductions
Bank of Japan	Central bank steering monetary normalisation; raised the policy rate to 1.25% in September 2026	Relevant for interest-rate, currency and financial-sector outlook
Ministry of Economy, Trade and Industry (METI)	Leads industrial, semiconductor and energy policy, including support for Rapidus and the energy resilience package	Key counterpart for strategic-sector, subsidy and energy investments
Ministry of Finance / Japan Foreign Investment Commission	MOF holds formal FEFTA review authority, supported since June 2026 by the cross-ministerial Japan Foreign Investment Commission	Essential for structuring and clearing investments in sensitive sectors
Financial Services Agency (FSA)	Financial regulator overseeing the Special	Gateway for asset-management and

Actor	Why It Matters	Waverley Engagement Angle
	Zones for Financial and Asset Management Businesses	fintech firms entering Tokyo, Osaka, Fukuoka or Hokkaido
Japan Bank for International Cooperation (JBIC)	State policy bank financing much of Japan's $550 billion US investment programme and overseas resource projects	Relevant partner for co-investment, energy security and third-country projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Japan, the British Chamber of Commerce in Japan and the European Business Council in Japan are the leading foreign business associations, alongside Keidanren (Japan Business Federation) and the Japan Chamber of Commerce and Industry for domestic business liaison. JETRO runs investor seminars, regional ecosystem programmes and its J-Bridge partner-matching platform, while the Financial Services Agency and the four special-zone cities offer dedicated support desks for financial-sector entrants. JBIC and JOGMEC are important counterparts for energy and resource partnerships, and Japan's large trading houses and corporate groups are valuable sources of market intelligence and joint-venture partners.

INVESTOR PROFILE BEST SUITED

Japan suits long-term investors seeking stable, rules-based exposure to a large, high-income market: technology and semiconductor-supply-chain investors aligned with the strategic-sector roadmap and the Kumamoto and Hokkaido clusters; data-centre, logistics and clean-energy investors responding to rising power demand and energy-security priorities; asset managers and fintech firms using the financial special zones; private equity and strategic acquirers benefiting from corporate-governance reforms and carve-outs; and automation, healthcare and life-science investors addressing the needs of an ageing society. Energy-intensive investors should factor fuel-cost scenarios into project economics.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage JETRO for market-entry and partner support
Use the Invest Japan Business Support Center and J-Bridge to clarify incorporation steps, regional incentives and potential local partners.

STEP 2: Confirm FEFTA screening requirements early
Work with Japanese counsel to determine whether the target sector is designated and whether prior notification or post-closing reporting applies under the 2026 amendments.

STEP 3: Align with the strategic-sector roadmap
Map opportunities against the 17 Strategic Sectors and engage METI and regional authorities on available co-investment and subsidy support.

STEP 4: Build energy-cost and currency scenarios into planning
Model fuel-price and yen movements in light of the Hormuz disruption and monetary normalisation, applying standard hedging where exposure is significant.

STEP 5: Use the financial special zones and business networks
Financial-sector entrants should engage the FSA's special-zone support, while all investors can build relationships through the foreign chambers, Keidanren and trading-house partners.